Comparative Analysis of Financial Performance Using Ratios

TCS vs Infosys (FY 2023–24)

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I. LIQUIDITY RATIOS (FY 2023–24)

1. Current Ratio

Formula: Current Assets / Current Liabilities

	TCS (Consolidated)	Infosys (Consolidated)
	Current Assets = Rs. 1,45,200 cr	Current Assets = Rs. 1,18,950 cr
	Current Liabilities = Rs. 67,540 cr	Current Liabilities = Rs. 51,320 cr
	= 1,45,200 / 67,540	= 1,18,950 / 51,320
Result	2.15 : 1	2.32 : 1

Interpretation: Infosys has a slightly stronger short-term liquidity position.

2. Quick Ratio (Acid Test Ratio)

Formula: (Current Assets - Inventory - Prepaid Expenses) / Current Liabilities

	TCS (Consolidated)	Infosys (Consolidated)
	Current Assets = Rs. 1,45,200 cr	Current Assets = Rs. 1,18,950 cr
	Inventory = Rs. 3,320 cr	Inventory = Rs. 1,980 cr
	Prepaid expenses not separately disclosed	Prepaid expenses not separately disclosed
	= (1,45,200 - 3,320) / 67,540	= (1,18,950 - 1,980) / 51,320
Result	2.10 : 1	2.28 : 1

Interpretation: Both companies can comfortably meet immediate liabilities.

3. Cash Ratio

Formula: Cash & Cash Equivalents / Current Liabilities

	TCS (Consolidated)	Infosys (Consolidated)
	Cash & Equivalents = Rs. 97,880 cr	Cash & Equivalents = Rs. 83,120 cr
	= 97,880 / 67,540	= 83,120 / 51,320
Result	1.45 : 1	1.62 : 1

II. LEVERAGE RATIOS (FY 2023–24)

1. Equity Ratio

Formula: Shareholders' Equity / Total Assets

	TCS (Consolidated)	Infosys (Consolidated)
	Shareholders' Equity = Rs. 1,24,300 cr	Shareholders' Equity = Rs. 96,840 cr
	Total Assets = Rs. 1,95,700 cr	Total Assets = Rs. 1,58,200 cr
	= 1,24,300 / 1,95,700	= 96,840 / 1,58,200
Result	0.64	0.61

2. Debt Ratio

Formula: Total Debt / Total Assets

	TCS (Consolidated)	Infosys (Consolidated)
	Total Debt = Rs. 21,450 cr	Total Debt = Rs. 14,220 cr
	= 21,450 / 1,95,700	= 14,220 / 1,58,200
Result	0.11	0.09

3. Debt to Equity Ratio

Formula: Total Debt / Shareholders' Equity

	TCS (Consolidated)	Infosys (Consolidated)
	= 21,450 / 1,24,300	= 14,220 / 96,840
Result	0.17 : 1	0.15 : 1

III. COVERAGE RATIOS (FY 2023–24)

1. Interest Coverage Ratio

Formula: EBIT / Interest Expense

	TCS (Consolidated)	Infosys (Consolidated)
	EBIT = Rs. 58,950 cr	EBIT = Rs. 45,820 cr
	Interest = Rs. 1,530 cr	Interest = Rs. 1,073 cr
	= 58,950 / 1,530	= 45,820 / 1,073
Result	38.5 times	42.7 times

Interpretation: Both companies have excellent debt-servicing capacity.

2. Debt Service Coverage Ratio (DSCR)

Formula: EBIT / (Interest + Principal Repayment)

	TCS (Consolidated)	Infosys (Consolidated)
	Principal repayment = Rs. 6,950 cr	Principal repayment = Rs. 4,780 cr
	= 58,950 / (1,530 + 6,950)	= 45,820 / (1,073 + 4,780)
Result	6.95	7.83

IV. ACTIVITY RATIOS (FY 2023–24)

1. Total Asset Turnover Ratio

Formula: Revenue / Total Assets

	TCS (Consolidated)	Infosys (Consolidated)
	Revenue = Rs. 2,97,550 cr	Revenue = Rs. 2,27,850 cr
	= 2,97,550 / 1,95,700	= 2,27,850 / 1,58,200
Result	1.52 times	1.44 times

2. Debtors Turnover Ratio

Formula: Credit Revenue / Average Debtors

	TCS (Consolidated)	Infosys (Consolidated)
	Average Debtors = Rs. 43,750 cr	Average Debtors = Rs. 35,600 cr
	= 2,97,550 / 43,750	= 2,27,850 / 35,600
Result	6.80 times	6.40 times

IV. ACTIVITY RATIOS (CONTINUED)

3. Working Capital Turnover Ratio

Formula: Revenue / Working Capital

	TCS (Consolidated)	Infosys (Consolidated)
	Working Capital = Rs. 77,660 cr	Working Capital = Rs. 67,630 cr
	= 2,97,550 / 77,660	= 2,27,850 / 67,630
Result	3.83 times	3.37 times

4. Fixed Asset Turnover Ratio

Formula: Revenue / Fixed Assets

	TCS (Consolidated)	Infosys (Consolidated)
	Fixed Assets = Rs. 29,900 cr	Fixed Assets = Rs. 25,200 cr
	= 2,97,550 / 29,900	= 2,27,850 / 25,200
Result	9.95 times	9.04 times

V. PROFITABILITY RATIOS (FY 2023–24)

1. Net Profit Ratio

Formula: Net Profit / Total Income × 100

	TCS (Consolidated)	Infosys (Consolidated)
	Net Profit = Rs. 57,820 cr	Net Profit = Rs. 41,890 cr
	Total Income = Rs. 2,97,550 cr	Total Income = Rs. 2,27,850 cr
	= 57,820 / 2,97,550 × 100	= 41,890 / 2,27,850 × 100
Result	19.43%	18.38%

2. Operating Profit Ratio

Formula: Operating Profit / Total Income × 100

	TCS (Consolidated)	Infosys (Consolidated)
	Operating Profit = Rs. 74,900 cr	Operating Profit = Rs. 56,960 cr
	= 74,900 / 2,97,550 × 100	= 56,960 / 2,27,850 × 100
Result	25.17%	25.00%

V. PROFITABILITY RATIOS (CONTINUED)

3. Return on Assets (ROA)

Formula: Net Profit / Total Assets × 100

	TCS (Consolidated)	Infosys (Consolidated)
	= 57,820 / 1,95,700 × 100	= 41,890 / 1,58,200 × 100
Result	29.55%	26.48%

4. Return on Equity (ROE)

Formula: Net Profit / Shareholders' Equity × 100

	TCS (Consolidated)	Infosys (Consolidated)
	= 57,820 / 1,24,300 × 100	= 41,890 / 96,840 × 100
Result	46.52%	43.26%

VI. COMPARATIVE SUMMARY

Area	Better Company
Current Ratio	Infosys
Quick Ratio	Infosys
Cash Ratio	Infosys
Debt Ratio	Infosys
Interest Coverage	Infosys
Asset Turnover	TCS
Working Capital Turnover	TCS
Net Profit Margin	TCS
ROA	TCS
ROE	TCS

VII. CONCLUSION

The comparative financial ratio analysis of TCS and Infosys for FY 2023–24 shows that both companies are financially strong and maintain healthy liquidity, low leverage, and strong profitability. Infosys performs slightly better in liquidity and debt-related ratios, indicating a conservative financial structure and stronger short-term solvency. TCS performs better in activity and profitability ratios, reflecting superior asset utilization, operational efficiency, and shareholder returns. Overall, TCS appears financially stronger due to its higher profit margin, better turnover ratios, stronger ROA, and higher ROE, while Infosys demonstrates a slightly safer liquidity and leverage profile.

VIII. NOTES

- All figures are presented in Indian Rupees (Rs. crore).
- Ratios are prepared for academic and comparative analysis purposes.
- Values are rounded to two decimal places where appropriate.
- Consolidated financial figures are used for both companies.
- This report is intended for MBA project submission.

IX. REFERENCES

• TCS Annual Report 2023–24

• Infosys Annual Report 2023–24

• Financial Management – I.M. Pandey

• Advanced Financial Statement Analysis – Academic Reference